According to a note recorded by Sundaresan, the Joint Secretary, Ministry of Finance, who had drafted the scheme, 'The Governor stated that the Finance Member had given him the impression that the scheme would be launched only when there were signs of the onset of an inflationary spiral. The Governor saw no special signs of such a situation. It appeared to him that the main object of the scheme was to get hold of the tax evader. The *Governor wondered if this could be called an emergency to justify the promulgation of an Ordinance, just before the newly elected Legislative Assembly met*. The Governor *wanted government to be satisfied that there was no harassment to honest persons*. As a currency authority, *the Bank could not endorse any measure likely to undermine the confidence in the country's currency*.'

He also pointed out the considerable administrative difficulties involved in covering nearly 5,700 offices of scheduled and non-scheduled banks. The Governor's concluding remarks, as recorded by Sundaresan, were as under: 'Sir Chintaman Deshmukh felt that we may not get even as much as ₹10 crore as additional tax revenue from tax evasion and that the contemplated measure, if designed to achieve such a purpose, *has no precedent or parallel anywhere*. If value is going to be paid for value (no matter whether such value is in lower denomination notes), *it is not going to obliterate black markets*. His advice is that we should think very seriously, if for the object in view (as he deduces from the declaration form), whether this is an opportune time to proceed with the scheme.'

Finally, reflecting a dilemma that successive RBI Governors have faced in opposing a government directive, Sundaresan reported that Governor Deshmukh stated: 'Provided government [is] satisfied on the points of (i) sparing harassment to the unoffending holders and (ii) a worthwhile minimum of results in the shape of extra tax revenue, he does not wish to object to the scheme as drafted, if government wish[es] to proceed with it, notwithstanding the administrative difficulties involved.'[4]